

WPI: Touches 11-month high

Highlights

- WPI inflation came in at 2.1% YoY in February from 1.8% YoY in January
- Core inflation inched 10 bps higher at 3.3% YoY from 3.2% YoY in January; tobacco (+6.3% YoY) emerged as a major uptick driver
- FY26 expected to average at 0.6-0.7%, FY27 early estimates point to average of 2.9-3.1% and could surprise on the upside on account of West Asia conflict and INR depreciation

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Headline WPI for February came at 2.13% YoY from 1.8% YoY in January. On a sequential basis, WPI eased slightly at 0.25% from 0.4% as some reprieve was seen in manufactured products (0.5%) and primary articles (-0.5%). Within Primary Articles, sequential upticks were seen in non-food (0.8%) and crude (4.2%) while food (-1.3%) and mineral prices witnessed a drop (-1.2%). However, on annual basis, Primary articles rose sharply at 3.3% from 2.2% earlier. Core WPI inched 10 bps higher at 3.3% YoY in February. As per our estimates we expect March WPI at ~2.8-2.9% leading to an average of ~0.6-0.7% for FY26. For FY27, upside-surprises arise from low base effects, INR depreciation and West Asia conflict. Our earlier estimates for FY27 indicated WPI averaging at 2.9-3.1% YoY with core at 3.2-3.4% YoY. However, if we factor in higher crude oil prices, the headline WPI is likely to accelerate by 100-120 bps if West Asia conflict prolongs.

Food inflation sees upward trajectory: Consolidated food inflation saw an increase of 1.85% YoY in February, higher than 1.41% YoY in the previous month. On a MoM basis food inflation moderated to (-)0.67%. Within primary food basket, pulses prices picked up to 1.97% MoM after remaining flat last month). Pulse prices rose mainly due to Chawali, which jumped 22.9% MoM after a 21.04% MoM fall in the previous month. Urad prices also increased to 2.71% MoM from 1.55% MoM. Similarly, fruits prices inched upwards to 8.54% MoM from 1.57% rise in the previous month. In contrast, vegetable prices declined to 17.08% MoM, while cereals contracted 0.67% MoM after a small 0.19% MoM increase earlier. Within vegetables, prices of key food items such as potatoes fell 12.24% MoM, onion prices declined 14.90% MoM, and tomato prices dropped sharply by 44.92% MoM in February. Milk prices edged up 0.21% MoM, while spices rose 3.77% MoM, easing from 4.25% in the previous month. Fish and marine products recorded the sharpest increase, up 2.32% MoM.

Fuel and power inflation registered an uptick on monthly basis: Fuel inflation rose by 1.17% MoM while on yearly basis it saw a decline of 3.78%. The monthly increase in inflation is driven by uptick in the prices of LPG (2.71% MoM), mineral oil (2.05% MoM), diesel (1.20% MoM) and petrol (0.28% MoM). Kerosene prices (2.63% MoM) moderated in February. Within primary article's basket, both crude oil prices (4.17% MoM from 4.27% MoM in the previous month) and natural gas prices (6.41% MoM vs. 7.35% MoM in the previous month) saw a mild moderation in prices in February. Meanwhile, minerals contracted 1.21% MoM in February after recording flat growth in the previous month. Coal prices remained flat in February while electricity prices continue to see decrease of 0.27% MoM.

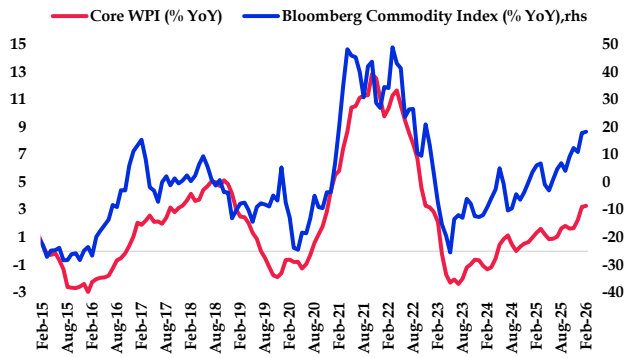
Core inflation (Ex. food, fuel) saw a moderate increase at 3.3% YoY: Core inflation in February came in 0.47% MoM lower than 1.4% MoM in January. Electrical equipment registered a growth of 1.16% MoM. Within manufactured products, tobacco (+4.0% MoM), textiles (+0.71% MoM), chemicals and chemical products (+0.51% MoM), rubber and plastic products (+0.78% MoM), food products (+0.67% MoM), paper and paper products (+0.29% MoM) saw an increase in prices in February. On the other hand, basic metals (-1.03% MoM), computer, electronic and optical products (-0.41% MoM), leather and related products (-0.07% MoM) and fabricated metal products (-0.14% MoM) saw sequential contractions in February.

WPI to inch higher, upside surprise from INR depreciation and higher oil prices: WPI inflation touched 11-month high in February. Food prices and Primary articles drove the headline higher while fuel prices continued to decline. As per IMD, a high probability of El Nino is likely to build in 2026 which could lead to deficient rainfall. However, the effect could be marginally counterbalanced with a positive development of IOD (Indian Ocean Dipole). The impact of the same on food prices needs to be watched out.

Both Industrial raw materials and farm input cost saw a rise on monthly basis in February (Exhibit 2). INR has depreciated around 1.4% in the current MTD. This alongside a 31.9% rise in crude oil prices in current MTD will exert upward pressure on WPI. As per reports, around 14.9 mn bpd are transported through Strait of Hormuz of which 80% is directed towards Asian countries. Despite Iran allowing Indian vessels to pass, the prolonged closure of the same will lead to sustained upward pressure in crude prices. As per RBI report, a 10% rise in crude oil prices could lead to a 100-bps rise in headline WPI. Our early forecasts point to the Headline WPI inflation YoY to average at 2.9-3.1% for FY27. However, if prices sustain around USD 75-85 pb we expect an upside of 100-120 bps to our estimate.

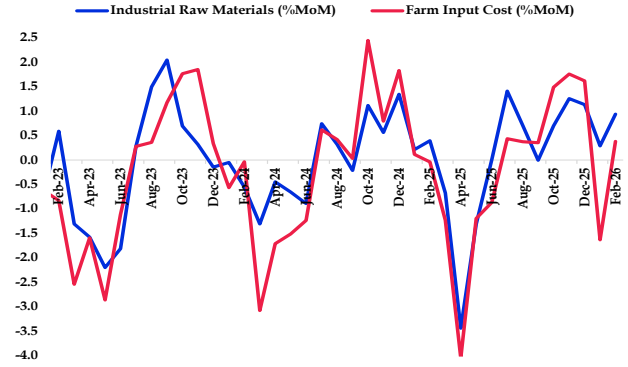
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Exhibit 1: Core WPI tracking Bloomberg Commodity Index



Source: CEIC, Yes Bank Economics Research

Exhibit 2: Input prices rise in February



Source: CEIC, Yes Bank Economics Research

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